Rahul Nair

BSE: 540180 | NSE: VBL

FINANCIAL MODELLING REPORT

(A Comprehensive DCF and Comparable Comps Valuation)

VARUN BEVERAGES

VARUN BEVERAGES LTD.

(VBL | BSE Code: 540180)

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VARUN BEVERAGES LTD - One Page Profile

Varun Beverages is a key player in beverage industry and one of the largest franchisee of PepsiCo in the world (outside USA).VBL has been associated with PepsiCo since the 1990s and have over two and half decades consolidated its business association with PepsiCo, increasing the number of licensed territories and sub-territories covered by the Company, producing and distributing a wider range of PepsiCo beverages, introducing various SKUs in the portfolio, and expanding the distribution network.

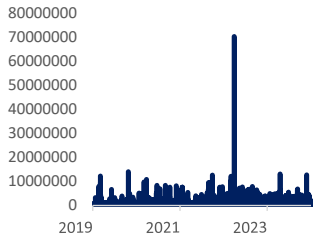
Key Financial Metrics	Dec-19	Dec-20	Dec-21	Dec-22	Dec-23
Total Sales	7130	6450	8823	13173	16043
Sales Growth YoY	39.7%	-9.5%	36.8%	49.3%	21.8%
Gross Profit Margin (%)	36.1%	35.1%	35.3%	35.9%	38.0%
EBITDA Margin (%)	20.5%	18.8%	19.2%	21.7%	23.2%
EBIT Margin (%)	14.3%	9.7%	13.2%	16.5%	18.6%
Net Profit Margin (%)	6.0%	6.0%	7.9%	11.9%	13.1%
EPS (in Rs.)	3.3	3.0	5.4	12.1	16.2
EPS Growth YoY (%)	37.3%	-8.9%	79.5%	125.6%	34.3%
Dividend per Share (in Rs.)	0.6	0.6	0.8	1.7	2.5
DPS Growth (%)	50.0%	0.0%	50.0%	110.0%	42.9%

Share Price - 5Y



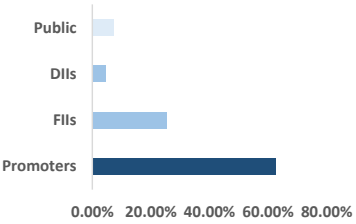
Key Financial Metrics	Dec-19	Dec-20	Dec-21	Dec-22	Dec-23
Price to Earnings	48.1x	68.3x	55.3x	54.8x	76.3x
EV/EBITDA	16.2x	24.3x	24.5x	31.3x	44.6x
EV/Sales	3.3x	4.6x	4.7x	6.8x	10.3x
Price to Book Value	6.1x	7.5x	9.4x	16.8x	23.2x
Return on Equtiy (%)	12.8%	11.0%	17.0%	30.7%	30.4%
Return on capital Employed (%)	15.1%	9.3%	15.6%	24.2%	24.1%

Volume - 5Y



Top Shareholders	N. Of Shares (in Lakhs)	% Holdings	Market Value (in Crs.)
RJ Corp Limited	347.550824	26.75	549860
Ravi Kant Jaipuria	225.894489	17.38	357388
Varun Jaipuria	208.343948	16.03	329621
Devyani Jaipuria	31.51191	2.43	49855
GOVERNMENT PENSION FUND GL	30.720151	2.36	48602.4
NEW WORLD FUND INC	16.118672	1.24	25501.4
GOVERNMENT OF SINGAPORE	15.117287	1.16	23917.1
Vivek Gupta	0.9306	0.07	1472.3

Holdings



Managerial Remuneration	Designation	Remuneration	X of Median Salary
Varun Jaipuria	Managing Director	54.06	64.4x
Ravi Kant Jaipuria	Chairman	151.72	180.6x
Raj Pal Gandhi	Director	65.45	77.9x
Rajinder Jeet Singh Bagga	Director	57.66	68.6x
Rajesh Chawla	CFO	9.61	11.4x

Capital Structure

Share Price	1500
No. of O/s. Shares	129.98
Market Capitalization	**194970.0**
Less: Cash	459.86
Add: Debt	5431.31
Enterprise Vale	**199941.5**

Recent Updates

Varun Beverages had earlier announced that it will split its equity shares carrying a face value of Rs. 5 into equity shares with a face value of Rs. 2.

Shares of Varun Beverages have seen a spike after the company announced the record date for its stock split. The stock is currently trading

Consolidated sales volume grew by 28.1% to 40.16 Crores cases in Q2 CY2024 from 31.35 Crores cases in Q2 CY 2023, which includes 28 million cases from BevCo during the quarter.

Varun Beverages entered into an exclusive snacks franchise appointment with Dubai Based Premeir Nutrition Trading which will allows VBL to manufacture, distribute, and sell 'Simba Munchiez' in Zimbabwe and Zambia

Source: Screener.in, Equity Master, Yahoo Finance, Business Standard, CNBC-TV18.

VARUN BEVERAGES LTD.

(VBL | BSE Code: 540180)

Historical Financial Statement - VARUN BEVERAGES LTD										
Years	Dec-14	Dec-15	Dec-16	Dec-17	Dec-18	Dec-19	Dec-20	Dec-21	Dec-22	Dec-23
#	Income Statement									
Sales	₹ 2,502.4	₹ 3,394.1	₹ 3,861.2	₹ 4,003.5	₹ 5,105.3	₹ 7,129.6	₹ 6,450.1	₹ 8,823.2	₹ 13,173.1	₹ 16,042.6
Sales Growth	*-*	*35.64%*	*13.76%*	*3.69%*	*27.52%*	*39.65%*	*-9.53%*	*36.79%*	*49.30%*	*21.78%*
COGS	₹ 1,801.9	₹ 2,303.3	₹ 2,470.2	₹ 2,587.8	₹ 3,213.8	₹ 4,555.5	₹ 4,185.4	₹ 5,708.4	₹ 8,447.6	₹ 9,939.5
COGS % Sales	*72.01%*	*67.86%*	*63.98%*	*64.64%*	*62.95%*	*63.90%*	*64.89%*	*64.70%*	*64.13%*	*61.96%*
Gross Profit	**₹ 700.51**	**₹ 1,090.85**	**₹ 1,390.97**	**₹ 1,415.77**	**₹ 1,891.51**	**₹ 2,574.11**	**₹ 2,264.77**	**₹ 3,114.86**	**₹ 4,725.52**	**₹ 6,103.07**
Gross Margins	*27.99%*	*32.14%*	*36.02%*	*35.36%*	*37.05%*	*36.10%*	*35.11%*	*35.30%*	*35.87%*	*38.04%*
Selling & General Expenses	₹ 313.62	₹ 448.38	₹ 581.46	₹ 577.44	₹ 855.71	₹ 1,111.79	₹ 1,049.81	₹ 1,420.91	₹ 1,862.52	₹ 2,386.33
S&G Exp % Sales	*12.53%*	*13.21%*	*15.06%*	*14.42%*	*16.76%*	*15.59%*	*16.28%*	*16.10%*	*14.14%*	*14.87%*
EBITDA	**₹ 386.89**	**₹ 642.47**	**₹ 809.51**	**₹ 838.33**	**₹ 1,035.80**	**₹ 1,462.32**	**₹ 1,214.96**	**₹ 1,693.95**	**₹ 2,863.00**	**₹ 3,716.74**
EBITDA Margins	*15.46%*	*18.93%*	*20.97%*	*20.94%*	*20.29%*	*20.51%*	*18.84%*	*19.20%*	*21.73%*	*23.17%*
Interest	₹ 187.36	₹ 170.15	₹ 434.74	₹ 214.59	₹ 222.80	₹ 324.31	₹ 293.74	₹ 206.97	₹ 204.09	₹ 291.60
Interest % Sales	*7.49%*	*5.01%*	*11.26%*	*5.36%*	*4.36%*	*4.55%*	*4.55%*	*2.35%*	*1.55%*	*1.82%*
Depreciation	₹ 210.06	₹ 317.41	₹ 322.21	₹ 346.64	₹ 385.07	₹ 488.63	₹ 528.70	₹ 531.26	₹ 617.19	₹ 680.91
Depreciation%Sales	*8.39%*	*9.35%*	*8.34%*	*8.66%*	*7.54%*	*6.85%*	*8.20%*	*6.02%*	*4.69%*	*4.24%*
Earnings Before Tax	**-₹ 10.53**	**₹ 154.91**	**₹ 52.56**	**₹ 277.10**	**₹ 427.93**	**₹ 649.38**	**₹ 392.5**	**₹ 955.7**	**₹ 2,041.7**	**₹ 2,744.2**
EBT % Sales	*-0.42%*	*4.56%*	*1.36%*	*6.92%*	*8.38%*	*9.11%*	*6.09%*	*10.83%*	*15.50%*	*17.11%*
Tax	₹ 24.8	₹ 78.9	₹ 31.3	₹ 76.9	₹ 133.9	₹ 224.1	₹ 5.2	₹ 260.6	₹ 473.5	₹ 637.6
Effective Tax Rate	*-235.61%*	*50.90%*	*59.55%*	*27.75%*	*31.30%*	*34.51%*	*1.33%*	*27.26%*	*23.19%*	*23.23%*
Net Profit	**(₹ 35.3)**	**₹ 76.1**	**₹ 21.3**	**₹ 200.2**	**₹ 294.0**	**₹ 425.3**	**₹ 387.3**	**₹ 695.2**	**₹ 1,568.2**	**₹ 2,106.7**
Net Margins	*-1.41%*	*2.24%*	*0.55%*	*5.00%*	*5.76%*	*5.97%*	*6.00%*	*7.88%*	*11.90%*	*13.13%*
No of Equity Shares	90.3	90.3	123.06	123.26	123.3	129.92	129.92	129.92	129.91	129.92
Earnings per Share	-₹ 0.39	₹ 0.84	₹ 0.17	₹ 1.62	₹ 2.38	₹ 3.27	₹ 2.98	₹ 5.35	₹ 12.07	₹ 16.22
EPS Growth %		*-315.22%*	*-79.49%*	*840.15%*	*46.81%*	*37.29%*	*-8.94%*	*79.50%*	*125.60%*	*34.33%*
Dividend per Share	-	-	-	₹ 0.4	₹ 0.4	₹ 0.6	₹ 0.6	₹ 0.8	₹ 1.7	₹ 2.5
Dividend payout ratio	*0.00%*	*0.00%*	*0.00%*	*22.80%*	*15.53%*	*16.97%*	*18.63%*	*15.57%*	*14.50%*	*15.42%*
Retained Earnings	0.00%	100.00%	100.00%	77.20%	84.47%	83.03%	81.37%	84.43%	85.50%	84.58%

VARUN BEVERAGES LTD.

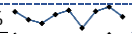
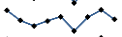
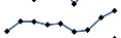
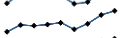
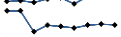
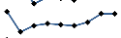
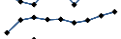
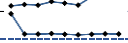
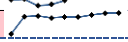
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#	Balance Sheet									
	Equity Share Capital	₹ 133.8	₹ 133.8	₹ 182.3	₹ 182.6	₹ 182.6	₹ 288.7	₹ 288.7	₹ 433.0	₹ 649.6	₹ 649.6
	Reserves	₹ 9.3	₹ 90.5	₹ 1,511.3	₹ 1,586.8	₹ 1,815.9	₹ 3,039.7	₹ 3,235.3	₹ 3,646.9	₹ 4,452.8	₹ 6,286.9
	Borrowings	₹ 2,615.3	₹ 2,527.4	₹ 2,215.4	₹ 2,653.7	₹ 2,807.9	₹ 3,417.2	₹ 3,216.1	₹ 3,386.8	₹ 3,883.8	₹ 5,431.3
	Other Liabilities	₹ 533.3	₹ 1,679.6	₹ 915.4	₹ 852.5	₹ 1,191.6	₹ 1,630.0	₹ 1,707.2	₹ 2,112.8	₹ 2,632.1	₹ 2,819.4
	Total Liabilities	**₹ 3,291.6**	**₹ 4,431.3**	**₹ 4,824.4**	**₹ 5,275.6**	**₹ 5,998.0**	**₹ 8,375.6**	**₹ 8,447.4**	**₹ 9,579.5**	**₹ 11,618.2**	**₹ 15,187.2**
	Fixed Assets Net Block	₹ 2,354.9	₹ 3,495.6	₹ 3,715.5	₹ 3,980.5	₹ 4,387.0	₹ 6,479.0	₹ 6,408.6	₹ 6,310.8	₹ 6,932.2	₹ 8,409.2
	Capital Work in Progress	₹ 24.8	₹ 37.9	₹ 95.6	₹ 145.4	₹ 352.4	₹ 63.8	₹ 66.8	₹ 496.6	₹ 606.6	₹ 1,922.2
	Investments	₹ 303.7	₹ 3.3	₹ 6.9	₹ 8.2	₹ 11.2	-	-	-	₹ 0.0	₹ 21.1
	Other Assets	₹ 187.3	₹ 313.9	₹ 319.5	₹ 457.8	₹ 447.5	₹ 607.6	₹ 611.3	₹ 766.1	₹ 1,500.9	₹ 1,864.9
	Total Non Current Assets	**₹ 2,870.7**	**₹ 3,850.6**	**₹ 4,137.4**	**₹ 4,592.0**	**₹ 5,198.1**	**₹ 7,150.4**	**₹ 7,086.7**	**₹ 7,573.5**	**₹ 9,039.7**	**₹ 12,217.4**
	Receivables	₹ 97.3	₹ 97.9	₹ 131.4	₹ 150.3	₹ 128.0	₹ 172.6	₹ 241.8	₹ 221.3	₹ 299.3	₹ 359.4
	Inventory	₹ 289.3	₹ 424.7	₹ 489.9	₹ 438.9	₹ 578.4	₹ 881.5	₹ 928.8	₹ 1,448.1	₹ 1,993.9	₹ 2,150.5
	Cash & Bank	₹ 34.4	₹ 58.1	₹ 65.7	₹ 94.5	₹ 93.5	₹ 171.1	₹ 190.1	₹ 336.6	₹ 285.3	₹ 459.9
	Total Current Assets	**₹ 421.0**	**₹ 580.6**	**₹ 687.0**	**₹ 683.6**	**₹ 799.9**	**₹ 1,225.2**	**₹ 1,360.7**	**₹ 2,006.0**	**₹ 2,578.5**	**₹ 2,969.8**
	Total Assets	**₹ 3,291.6**	**₹ 4,431.3**	**₹ 4,824.4**	**₹ 5,275.6**	**₹ 5,998.0**	**₹ 8,375.6**	**₹ 8,447.4**	**₹ 9,579.5**	**₹ 11,618.2**	**₹ 15,187.2**
	Check	*TRUE*	*TRUE*	*TRUE*	*TRUE*	*TRUE*	*TRUE*	*TRUE*	*TRUE*	*TRUE*	*TRUE*

#	Cash Flow Statements									
	Operating Activities									
	Profit from operations	₹ 397.0	₹ 645.0	₹ 820.0	₹ 873.0	₹ 1,123.0	₹ 1,513.0	₹ 1,200.0	₹ 1,624.0	₹ 2,749.0	₹ 3,732.0
	Receivables	(₹ 38.0)	-	₹ 7.0	(₹ 34.0)	(₹ 13.0)	(₹ 32.0)	(₹ 76.0)	₹ 15.0	(₹ 123.0)	(₹ 73.0)
	Inventory	(₹ 43.0)	(₹ 135.0)	(₹ 39.0)	₹ 45.0	(₹ 151.0)	(₹ 185.0)	(₹ 47.0)	(₹ 519.0)	(₹ 557.0)	(₹ 160.0)
	Payables	₹ 86.0	₹ 149.0	-	-	-	-	-	-	-	-
	Loans Advances	₹ 39.0	(₹ 56.0)	-	-	-	-	-	-	-	-
	Other WC items	-	-	₹ 95.0	(₹ 207.0)	₹ 114.0	₹ 132.0	₹ 12.0	₹ 236.0	₹ 95.0	(₹ 440.0)
	Direct taxes	(₹ 11.0)	(₹ 48.0)	(₹ 58.0)	(₹ 57.0)	(₹ 73.0)	(₹ 120.0)	(₹ 78.0)	(₹ 124.0)	(₹ 373.0)	(₹ 668.0)
	Cash from Operating Activities	**₹ 430.0**	**₹ 555.0**	**₹ 825.0**	**₹ 620.0**	**₹ 1,000.0**	**₹ 1,308.0**	**₹ 1,011.0**	**₹ 1,232.0**	**₹ 1,791.0**	**₹ 2,391.0**
	Investing Activities									
	Fixed assets purchased	(₹ 220.0)	(₹ 269.0)	(₹ 792.0)	(₹ 533.0)	(₹ 859.0)	(₹ 754.0)	(₹ 560.0)	(₹ 835.0)	(₹ 1,801.0)	(₹ 3,264.0)
	Fixed assets sold	-	₹ 4.0	₹ 12.0	₹ 17.0	₹ 50.0	₹ 21.0	₹ 24.0	₹ 19.0	₹ 51.0	₹ 70.0
	Investments purchased	(₹ 302.0)	(₹ 550.0)	(₹ 35.0)	(₹ 35.0)	-	(₹ 73.0)	-	-	-	-
	Investments sold	₹ 8.0	₹ 512.0	₹ 35.0	₹ 35.0	-	₹ 73.0	-	-	-	-
	Interest received	₹ 12.0	₹ 6.0	₹ 8.0	₹ 5.0	₹ 6.0	₹ 5.0	₹ 9.0	₹ 13.0	₹ 23.0	₹ 22.0
	Dividends received	₹ 2.0	-	-	-	-	-	-	-	-	-
	Investment in group cos	-	-	-	-	-	-	-	-	-	(₹ 22.0)
	Acquisition of companies	-	-	(₹ 276.0)	(₹ 212.0)	-	(₹ 8.0)	-	-	-	(₹ 10.0)
	Other investing items	-	(₹ 4.0)	-	(₹ 23.0)	(₹ 134.0)	(₹ 1,583.0)	₹ 55.0	(₹ 205.0)	(₹ 42.0)	(₹ 85.0)
	Cash from Investing Activity	**(₹ 500.0)**	**(₹ 301.0)**	**(₹ 1,048.0)**	**(₹ 746.0)**	**(₹ 937.0)**	**(₹ 2,319.0)**	**(₹ 472.0)**	**(₹ 1,008.0)**	**(₹ 1,769.0)**	**(₹ 3,289.0)**
	Financing Activities									
	Proceeds from shares	₹ 240.0	-	₹ 701.0	₹ 4.0	₹ 1.0	₹ 900.0	-	-	-	₹ 4.0
	Proceeds from debentures	-	₹ 320.0	₹ 180.0	₹ 300.0	-	-	-	-	-	-
	Redemption of debentures	-	-	(₹ 500.0)	-	(₹ 300.0)	-	-	-	-	-
	Proceeds from borrowings	₹ 171.0	₹ 332.0	-	-	₹ 1,400.0	₹ 1,958.0	₹ 1,020.0	₹ 855.0	₹ 1,478.0	₹ 2,783.0
	Repayment of borrowings	(₹ 87.0)	(₹ 997.0)	₹ 71.0	(₹ 57.0)	(₹ 644.0)	(₹ 1,310.0)	(₹ 1,233.0)	(₹ 726.0)	(₹ 1,138.0)	(₹ 1,277.0)
	Interest paid fin	(₹ 186.0)	(₹ 141.0)	(₹ 219.0)	(₹ 156.0)	(₹ 189.0)	(₹ 303.0)	(₹ 277.0)	(₹ 179.0)	(₹ 172.0)	(₹ 269.0)
	Dividends paid	-	-	-	(₹ 46.0)	(₹ 46.0)	(₹ 69.0)	(₹ 72.0)	(₹ 108.0)	(₹ 162.0)	(₹ 227.0)
	Financial liabilities	-	-	-	-	-	-	(₹ 11.0)	(₹ 19.0)	(₹ 23.0)	(₹ 30.0)
	Share application money	-	-	-	-	-	-	-	-	-	-
	Application money refund	-	-	(₹ 21.0)	-	-	-	-	-	-	-
	Other financing items	(₹ 80.0)	₹ 250.0	₹ 17.0	₹ 113.0	(₹ 308.0)	(₹ 69.0)	-	-	-	-
	Cash from Financing Activities	**₹ 58.0**	**(₹ 236.0)**	**₹ 229.0**	**₹ 158.0**	**(₹ 86.0)**	**₹ 1,107.0**	**(₹ 573.0)**	**(₹ 177.0)**	**(₹ 17.0)**	**₹ 984.0**

VARUN BEVERAGES LTD.

(VBL | BSE Code: 540180)

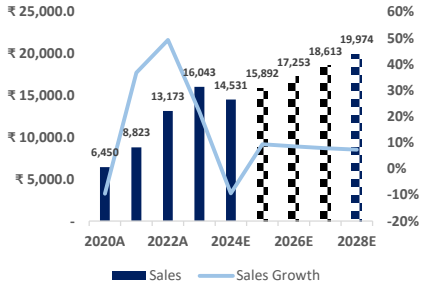
Ratio Analysis of - VARUN BEVERAGES LTD												
Years	**Dec-15**	**Dec-16**	**Dec-17**	**Dec-18**	**Dec-19**	**Dec-20**	**Dec-21**	**Dec-22**	**Dec-23**	**Trends**	**Mean**	**Median**
Sales Growth	35.64%	13.76%	3.69%	27.52%	39.65%	-9.53%	36.79%	49.30%	21.78%		24.29%	27.52%
EBITDA Growth	66.06%	26.00%	3.56%	23.56%	41.18%	-16.92%	39.42%	69.01%	29.82%		31.30%	29.82%
EBIT Growth	183.83%	149.91%	100.90%	132.35%	149.63%	70.48%	169.42%	193.16%	135.18%		142.76%	149.63%
Net Profit Growth	-315.22%	-72.05%	841.67%	46.85%	44.66%	-8.94%	79.50%	125.58%	34.34%		86.27%	44.66%
Dividend Growth	0.00%	0.00%	0.00%	-0.01%	50.01%	0.00%	50.01%	110.01%	42.86%		28.10%	0.00%
Gross Margin	35.64%	13.76%	3.69%	27.52%	39.65%	-9.53%	36.79%	49.30%	21.78%		24.29%	27.52%
EBITDA Margin	18.93%	20.97%	20.94%	20.29%	20.51%	18.84%	19.20%	21.73%	23.17%		20.51%	20.51%
EBIT Margin	9.58%	12.62%	12.28%	12.75%	13.66%	10.64%	13.18%	17.05%	18.92%		13.41%	12.75%
Net Profit Margin	2.24%	0.55%	5.00%	5.76%	5.97%	6.00%	7.88%	11.90%	13.13%		6.49%	5.97%
SalesExpenses%Sales	13.21%	15.06%	14.42%	16.76%	15.59%	16.28%	16.10%	14.14%	14.87%		15.16%	15.06%
Depreciation%Sales	9.35%	8.34%	8.66%	7.54%	6.85%	8.20%	6.02%	4.69%	4.24%		7.10%	7.54%
OperatingIncome%Sales	32.14%	36.02%	35.36%	37.05%	36.10%	35.11%	35.30%	35.87%	38.04%		35.67%	35.87%
Return on Capital Employed	11.81%	12.47%	11.12%	13.54%	14.43%	10.18%	15.57%	24.99%	24.55%		15.41%	13.54%
Retained Earnings%	100.00%	100.00%	77.20%	84.47%	83.03%	81.37%	84.43%	85.50%	84.58%		86.73%	84.47%
Return on Equity%	33.91%	1.26%	11.31%	14.71%	12.78%	10.99%	17.04%	30.73%	30.37%		18.12%	14.71%
Self Sustained Growth Rate	33.91%	1.26%	8.73%	12.43%	10.61%	8.94%	14.39%	26.28%	25.69%		15.80%	12.43%
Interest Coverage Ratio	1.91x	1.12x	2.29x	2.92x	3.00x	2.34x	5.62x	11.00x	10.41x		4.51x	2.92x
Debtor Turnover Ratio	34.67x	29.40x	26.65x	39.88x	41.32x	26.68x	39.88x	44.01x	44.64x		36.34x	39.88x
Creditor Turnover Ratio	2.02x	4.22x	4.70x	4.28x	4.37x	3.78x	4.18x	5.00x	5.69x		4.25x	4.28x
Inventory Turnover	7.99x	7.88x	9.12x	8.83x	8.09x	6.94x	6.09x	6.61x	7.46x		7.67x	7.88x
Fixed Asset Turnover	0.97x	1.04x	1.01x	1.16x	1.10x	1.01x	1.40x	1.90x	1.91x		1.28x	1.10x
Capital Turnover Ratio	15.13x	2.28x	2.26x	2.55x	2.14x	1.83x	2.16x	2.58x	2.31x		3.70x	2.28x
(in Days)												
Debtor Days	11	12	14	9	9	14	9	8	8		10	9
Payable Days	181	87	78	85	83	97	87	73	64		93	85
Inventory Days	46	46	40	41	45	53	60	55	49		48	46
Cash Conversion Cycle	-124	-28	-24	-35	-29	-30	-18	-9	-7		-34	-28
CFO/Sales	16.35%	21.37%	15.49%	19.59%	18.35%	15.67%	13.96%	13.60%	14.90%		16.59%	15.67%
CFO/Total Assets	12.52%	17.10%	11.75%	16.67%	15.62%	11.97%	12.86%	15.42%	15.74%		14.41%	15.42%
CFO/Total Debt	21.96%	37.24%	23.36%	35.61%	38.28%	31.44%	36.38%	46.11%	44.02%		34.93%	36.38%

VARUN BEVERAGES LTD.

(VBL | BSE Code: 540180)

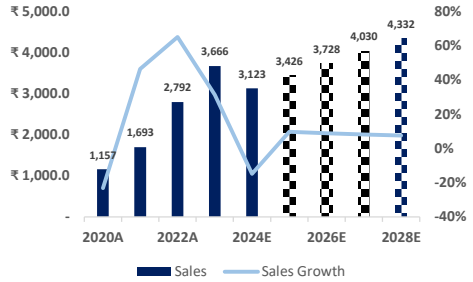
VARUN BEVERAGES LTD - Sales Forecasting

Year Weight	Year	Sales	Sales Growth
1	2014A	₹ 2,502.4	
2	2015A	₹ 3,394.1	35.64%
3	2016A	₹ 3,861.2	13.76%
4	2017A	₹ 4,003.5	3.69%
5	2018A	₹ 5,105.3	27.52%
6	2019A	₹ 7,129.6	39.65%
7	2020A	₹ 6,450.1	-9.53%
8	2021A	₹ 8,823.2	36.79%
9	2022A	₹ 13,173.1	49.30%
10	2023A	₹ 16,042.6	21.78%
11	2024E	₹ 14,531.5	-9.42%
12	2025E	₹ 15,892.0	9.36%
13	2026E	₹ 17,252.6	8.56%
14	2027E	₹ 18,613.1	7.89%
15	2028E	₹ 19,973.6	7.31%



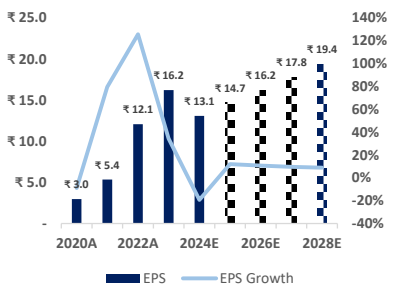
VARUN BEVERAGES LTD - EBITDA Forecasting

Year Weight	Year	EBITDA	EBITDA Growth
1	2014A	₹ 402.1	
2	2015A	₹ 679.5	68.99%
3	2016A	₹ 830.6	22.25%
4	2017A	₹ 848.3	2.12%
5	2018A	₹ 1,034.6	21.97%
6	2019A	₹ 1,506.0	45.56%
7	2020A	₹ 1,156.7	-23.20%
8	2021A	₹ 1,692.8	46.35%
9	2022A	₹ 2,792.2	64.95%
10	2023A	₹ 3,666.0	31.29%
11	2024E	₹ 3,123.3	-14.80%
12	2025E	₹ 3,425.5	9.68%
13	2026E	₹ 3,727.8	8.82%
14	2027E	₹ 4,030.1	8.11%
15	2028E	₹ 4,332.3	7.50%



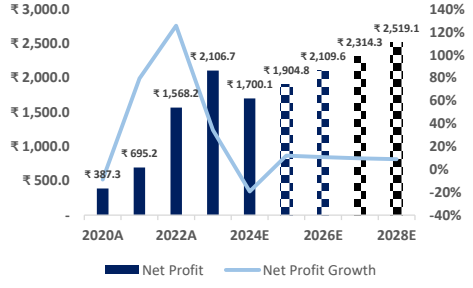
VARUN BEVERAGES LTD - EPS Forecasting

Year Weight	Year	EPS	EPS Growth
1	2014A	(₹ 0.4)	
2	2015A	₹ 0.8	-315.22%
3	2016A	₹ 0.2	-79.49%
4	2017A	₹ 1.6	840.15%
5	2018A	₹ 2.4	46.81%
6	2019A	₹ 3.3	37.29%
7	2020A	₹ 3.0	-8.94%
8	2021A	₹ 5.4	79.50%
9	2022A	₹ 12.1	125.60%
10	2023A	₹ 16.2	34.33%
11	2024E	₹ 13.1	-19.32%
12	2025E	₹ 14.7	11.99%
13	2026E	₹ 16.2	10.71%
14	2027E	₹ 17.8	9.67%
15	2028E	₹ 19.4	8.82%



VARUN BEVERAGES LTD - EPS Forecasting

Year Weight	Year	Net Profit	Net Profit Growth
1	2014A	(₹ 35.3)	
2	2015A	₹ 76.1	-315.22%
3	2016A	₹ 21.3	-72.05%
4	2017A	₹ 200.2	841.67%
5	2018A	₹ 294.0	46.85%
6	2019A	₹ 425.3	44.66%
7	2020A	₹ 387.3	-8.94%
8	2021A	₹ 695.2	79.50%
9	2022A	₹ 1,568.2	125.58%
10	2023A	₹ 2,106.7	34.34%
11	2024E	₹ 1,700.1	-19.30%
12	2025E	₹ 1,904.8	12.04%
13	2026E	₹ 2,109.6	10.75%
14	2027E	₹ 2,314.3	9.71%
15	2028E	₹ 2,519.1	8.85%



VARUN BEVERAGES LTD.

(VBL | BSE Code: 540180)

Common Size Income Statement - VARUN BEVERAGES LTD									
Particulars	**Dec-15**	**Dec-16**	**Dec-17**	**Dec-18**	**Dec-19**	**Dec-20**	**Dec-21**	**Dec-22**	**Dec-23**
Sales	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**
Raw Material Cost	51.43%	45.83%	47.04%	45.18%	47.17%	43.12%	46.86%	50.14%	46.68%
Change in Inventory	0.85%	0.83%	1.83%	1.22%	2.02%	0.27%	1.13%	2.62%	0.53%
Power and Fuel	3.86%	4.05%	4.00%	3.82%	3.91%	4.14%	3.74%	3.64%	3.43%
Other Mfr. Exp	3.88%	4.01%	3.86%	3.75%	3.44%	4.10%	3.72%	3.58%	3.35%
Employee Cost	9.54%	10.92%	11.57%	11.42%	11.38%	13.80%	11.51%	9.38%	9.02%
Selling and admin	12.54%	14.06%	13.14%	33.16%	33.24%	32.43%	15.40%	13.49%	14.05%
Other Expenses	0.67%	1.00%	1.29%	-16.40%	-17.65%	-16.15%	0.70%	0.65%	0.83%
Other Income	1.05%	0.69%	0.35%	0.11%	0.66%	-0.47%	0.58%	-0.14%	-0.03%
Depreciation	9.35%	8.34%	8.66%	7.54%	6.85%	8.20%	6.02%	4.69%	4.24%
Interest	5.01%	11.26%	5.36%	4.36%	4.55%	4.55%	2.35%	1.55%	1.82%
Profit before tax	5.62%	2.05%	7.27%	8.50%	9.77%	5.62%	11.41%	15.36%	17.08%
Tax	2.32%	0.81%	1.92%	2.62%	3.14%	0.08%	2.95%	3.59%	3.97%
Net profit	3.33%	1.10%	5.25%	5.74%	6.58%	5.10%	7.87%	11.37%	12.82%
Dividend Amount	0.00%	0.00%	1.14%	0.89%	1.01%	1.12%	1.23%	1.73%	2.02%
EBITDA	20.02%	21.51%	21.19%	20.27%	21.12%	17.93%	19.19%	21.20%	22.85%

Common Size Balance Sheet - VARUN BEVERAGES LTD									
Particulars	**Dec-15**	**Dec-16**	**Dec-17**	**Dec-18**	**Dec-19**	**Dec-20**	**Dec-21**	**Dec-22**	**Dec-23**
Total Liabilities	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**
Equity Share Capital	3.02%	3.78%	3.46%	3.05%	3.45%	3.42%	4.52%	5.59%	4.28%
Reserves	2.04%	31.33%	30.08%	30.27%	36.29%	38.30%	38.07%	38.33%	41.40%
Borrowings	57.03%	45.92%	50.30%	46.81%	40.80%	38.07%	35.35%	33.43%	35.76%
Other Liabilities	37.90%	18.97%	16.16%	19.87%	19.46%	20.21%	22.06%	22.65%	18.56%
Total Assets	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**
Net Block	78.88%	77.01%	75.45%	73.14%	77.36%	75.87%	65.88%	59.67%	55.37%
Capital Work in Progress	0.86%	1.98%	2.76%	5.87%	0.76%	0.79%	5.18%	5.22%	12.66%
Investments	0.07%	0.14%	0.16%	0.19%	0.00%	0.00%	0.00%	0.00%	0.14%
Other Assets	87.21%	86.90%	85.76%	87.04%	86.66%	85.37%	83.89%	79.06%	77.81%
Receivables	2.21%	2.72%	2.85%	2.13%	2.06%	2.86%	2.31%	2.58%	2.37%
Inventory	9.58%	10.16%	8.32%	9.64%	10.52%	11.00%	15.12%	17.16%	14.16%
Cash & Bank	1.31%	1.36%	1.79%	1.56%	2.04%	2.25%	3.51%	2.46%	3.03%

VARUN BEVERAGES LTD.

(VBL | BSE Code: 540180)

Regression Beta - 2 Year Weekly

Varun Beverages Weekly Returns		
Date	**Closing Price**	**Returns**
29-08-22	513.0	
05-09-22	537.2	4.71%
12-09-22	548.2	2.05%
19-09-22	576.4	5.13%
26-09-22	519.3	-9.90%
03-10-22	564.6	8.72%
10-10-22	510.5	-9.58%
17-10-22	503.8	-1.31%
24-10-22	517.2	2.66%
31-10-22	566.4	9.50%
07-11-22	550.2	-2.85%
14-11-22	568.9	3.39%
21-11-22	572.9	0.70%
28-11-22	655.8	14.47%
05-12-22	701.3	6.95%
12-12-22	694.6	-0.96%
19-12-22	640.3	-7.81%
26-12-22	657.7	2.71%
02-01-23	647.0	-1.64%
09-01-23	564.8	-12.70%
16-01-23	613.0	8.53%
23-01-23	617.9	0.80%
30-01-23	574.3	-7.05%
06-02-23	632.5	10.12%
13-02-23	638.2	0.90%
20-02-23	642.3	0.65%
27-02-23	675.6	5.18%
06-03-23	668.3	-1.08%
13-03-23	654.6	-2.05%
20-03-23	673.4	2.88%
27-03-23	690.8	2.59%
03-04-23	694.1	0.47%
10-04-23	712.0	2.59%
17-04-23	696.4	-2.19%
24-04-23	720.3	3.44%
01-05-23	724.0	0.51%
08-05-23	775.5	7.11%
15-05-23	791.3	2.03%
22-05-23	848.3	7.21%
29-05-23	844.9	-0.40%
05-06-23	793.2	-6.12%
12-06-23	818.7	3.21%

Nifty Returns	
Closing Price	**Returns**
17539.4	
17833.3	1.68%
17530.8	-1.70%
17327.3	-1.16%
17094.3	-1.34%
17314.7	1.29%
17185.7	-0.74%
17576.3	2.27%
17786.8	1.20%
18117.2	1.86%
18349.7	1.28%
18307.7	-0.23%
18512.8	1.12%
18696.1	0.99%
18496.6	-1.07%
18269.0	-1.23%
17806.8	-2.53%
18105.3	1.68%
17859.4	-1.36%
17956.6	0.54%
18027.7	0.40%
17604.3	-2.35%
17854.1	1.42%
17856.5	0.01%
17944.2	0.49%
17465.8	-2.67%
17594.3	0.74%
17412.9	-1.03%
17100.1	-1.80%
16945.1	-0.91%
17359.8	2.45%
17599.2	1.38%
17828.0	1.30%
17624.1	-1.14%
18065.0	2.50%
18069.0	0.02%
18314.8	1.36%
18203.4	-0.61%
18499.3	1.63%
18534.1	0.19%
18563.4	0.16%
18826.0	1.41%

Beta Drifting	
Levered Raw Beta	0.96
Raw Beta Weight	75.00%
Market Beta	1
Market Beta Weight	25.00%
Adjusted Beta	0.97

VARUN BEVERAGES LTD.

(VBL | BSE Code: 540180)

Return on Markets

Year	Annual
2000	-14.65%
2001	-16.18%
2002	3.25%
2003	71.90%
2004	10.68%
2005	36.34%
2006	39.83%
2007	54.77%
2008	-51.79%
2009	75.76%
2010	17.95%
2011	-24.62%
2012	27.70%
2013	6.76%
2014	31.39%
2015	-4.06%
2016	3.01%
2017	28.65%
2018	3.15%
2019	12.02%
2020	14.90%
2021	24.12%
2022	4.32%
2023	19.42%

Average Return	15.61%
Dividend yield	1.25% [1]
Total Market Return	**15.61%**

VARUN BEVERAGES LTD.

(VBL | BSE Code: 540180)

	Calculation of ROIC	Dec-19	Dec-20	Dec-21	Dec-22	Dec-23
	Current Assets					
	Inventories	882.0	929.0	1448.0	1994.0	2151.0
	Trade receivables	173.0	242.0	221.0	299.0	359.0
	Cash Equivalents	171.0	190.0	337.0	285.0	460.0
	Short term loans	9.0	6.0	8.0	20.0	21.0
	Other asset items	599.0	605.0	758.0	1481.0	1844.0
	Total Current Assets	**1834.0**	**1972.0**	**2772.0**	**4079.0**	**4835.0**
	Current Liabilities					
	Trade Payables	478.0	511.0	712.0	824.0	758.0
	Advance from Customers	113.0	173.0	79.0	203.0	180.0
	Other liability items	1009.0	958.0	1205.0	1491.0	1732.0
	Total Current Liabilities	**1600.0**	**1642.0**	**1996.0**	**2518.0**	**2670.0**
#	**Net Working Capital**	**234.0**	**330.0**	**776.0**	**1561.0**	**2165.0**
	Non Current Assets					
	Land	1,209.0	1,250.0	1,296.0	1,679.0	1,832.0
	Building	1,308.0	1,392.0	1,474.0	1,587.0	1,958.0
	Plant Machinery	3,565.0	3,831.0	3,967.0	4,401.0	5,499.0
	Equipments	1,194.0	1,212.0	1,242.0	1,238.0	1,293.0
	Computers	23.0	25.0	28.0	33.0	41.0
	Furniture n fittings	25.0	26.0	29.0	29.0	41.0
	Vehicles	742.0	622.0	690.0	795.0	1,086.0
	Intangible Assets	644.0	644.0	644.0	644.0	644.0
	Other fixed assets	35.0	32.0	38.0	35.0	51.0
	Gross Block	**8,745.0**	**9,034.0**	**9,408.0**	**10,441.0**	**12,445.0**
	Accumulated Depreciation	(2,265.0)	(2,624.0)	(3,099.0)	(3,509.0)	(4,036.0)
#	**Net Non Current Assests**	**6,480.0**	**6,410.0**	**6,309.0**	**6,932.0**	**8,409.0**
#	**Invested Capital**	**6,714.0**	**6,740.0**	**7,085.0**	**8,493.0**	**10,574.0**
	EBIT	**973.69**	**686.26**	**1162.69**	**2245.81**	**3035.83**
#	**ROIC**	**14.50%**	**10.18%**	**16.41%**	**26.44%**	**28.71%**

#	Calculation of Reinvestment Rate	Dec-19	Dec-20	Dec-21	Dec-22	Dec-23
	Net Capex	733.0	536.0	816.0	1750.0	3194.0
	Change in Working Capital		96.0	446.0	785.0	604.0
	EBIT	973.69	686.26	1162.69	2245.81	3035.83
	Marginal Tax Rate	25.00%	25.00%	25.00%	25.00%	25.00%
	EBIT*(1-T)	730.2675	514.695	872.0175	1684.3575	2276.8725
	Reinvestment		632.0	1262.0	2535.0	3798.0
	Reinvestment Rate		**122.79%**	**144.72%**	**150.50%**	**166.81%**

4 Year Average	**146.21%**
4 Year Median	**147.61%**

#	Calculation of Growth Rate	Dec-19	Dec-20	Dec-21	Dec-22	Dec-23
	Reinvestment Rate		122.79%	144.72%	150.50%	166.81%
	ROIC		10.18%	16.41%	26.44%	28.71%
	Intrinsic Growth		**12.50%**	**23.75%**	**39.80%**	**47.89%**

4 Year Average	**30.99%**
4 Year Median	**31.77%**

VARUN BEVERAGES LTD.

(VBL | BSE Code: 540180)

Weighted Average Cost of Capital

All figures are in INR unless stated otherwise

Peer Comps

Name	Country	Total Debt	Total Equity	Tax Rate [1]	Debt/ Equity	Debt/ Capital	Levered Beta [2]	Unlevered Beta [3]
Varun Beverages	India	6760.92	203323.615	30.00%	3.33%	3.22%	0.97	0.95
Hindustan Unilever	India	1484.00	650110.82	30.00%	0.23%	0.23%	0.32	0.32
Nestle India	India	344.53	243118.21	30.00%	0.14%	0.14%	0.35	0.35
Godrej Consumer	India	3222.20	148955.48	30.00%	2.16%	2.12%	0.47	0.47
Britannia Industries	India	2064.96	138861.99	30.00%	1.49%	1.47%	0.46	0.46
			Average	30.00%	1.47%	1.43%	0.52	0.51
			Median	30.00%	1.49%	1.47%	0.46	0.46

Cost of Debt

Pre-Tax cost of Debt	4.32%
Tax Rate	30.00%
After Tax Cost of Debt	3.02%

Cost of Equity

Risk-Free Rate	6.85%
Equity Risk Premium	8.76%
Levered Beta [4]	0.59
Cost of Equity	12.03%

Capital Structure

		Current	Target
Total Debt	6,760.9	3.22%	1.43%
Market Capitalization	203,323.6	96.78%	98.57%
Total Capitalization	210,084.5	100.00%	100.00%
Debt / Equity		3.33%	1.45%

Levered Beta

Comps Median Unlevered Beta	0.46
Target Debt/ Equity	1.45%
Tax Rate	30.00%
Levered Beta	0.59

1. Tax Rate considered as Marginal Tax Rate for the country

2. Levered Beta is based on 5 year monthly data

3. Unlevered Beta = Levered Beta/(1+(1-Tax Rate) x Debt/Equity)

3. Levered Beta = Unlevered Beta/(1+(1-Tax Rate) x Debt/Equity)

Weighted Average Cost of Capital

Cost of Equity	12.03%
Equity Weight	98.57%
Cost of Debt	3.02%
Debt Weight	1.43%
WACC	**11.90%**

VARUN BEVERAGES LTD.

(VBL | BSE Code: 540180)

Amount in Crores

Comparable Company Valuation

	Market Data					Financials			Valuation		
Company	**Share Price**	**Share O/s.**	**Equity Value**	**Net Debt**	**Eneterprise Value**	**Revenue**	**EBITDA**	**Net Income**	**EV/Revenue**	**EV/EBITDA**	**P/E**
Varun Beverages	1509	130	196086	6301	202387	18052	4360	2468	11.2x	46.4x	79.5x
Hatsun Agro	1310	22	29170	2645	31815	8215	1014	318	3.9x	31.4x	91.8x
Bikaji Foods	834	25	20876	-37	20839	2379	449	287	8.8x	46.4x	72.7x
L T Foods	370	35	12845	867	13712	8065	1067	615	1.7x	12.9x	20.9x
Mrs Bectors	1557	6	9153	118	9271	1689	268	141	5.5x	34.6x	64.9x
Avanti Feeds	661	14	9004	-721	8283	5322	619	416	1.6x	13.4x	21.6x
High									11.2x	46.4x	91.8x
75th Percentile									9.4x	46.4x	82.6x
Average									**5.4x**	**30.8x**	**58.6x**
Median									**4.7x**	**33.0x**	**68.8x**
25th Percentile									1.7x	13.3x	21.4x
Low									1.6x	12.9x	20.9x

Varun Beverages Ltd. Comparable Valuation			
Implied Enterprise Valuation	84499	143780	176158
Net Debt	6301	6301	6301
Implied Market Value	78198	137479	169857
Share Outstanding	130	130	130
Implied Value per Share	**601.8**	**1058.0**	**1307.2**

Source: The Valuation School, Screener.in

Overvalued	Undervalued	Overvalued

VARUN BEVERAGES LTD.

(VBL | BSE Code: 540180)

Calculation of PV FCFF	Dec-23A	Dec-24E	Dec-25E	Dec-26E	Dec-27E	Dec-28E
EBIT	2985.07	3148.652	3321.198	3503.2	3695.175	3897.671
Tax Rate	30.00%	30.00%	30.00%	30.00%	30.00%	30.00%
EBIT (1-T)	2089.55	2204.056	2324.839	2452.24	2586.622	2728.369
Less: Reinvestment Rate	147.61%	126.43%	105.24%	84.06%	62.87%	41.69%
Free Cash Flow to Firm (FCFF)	-994.88	-582.482	-121.898	390.9147	960.2982	1590.912
Mid Year Convention		0.5	1.5	2.5	3.5	4.5
Discounting Factor		0.945	0.845	0.755	0.675	0.603
PV of FCFF		**-550.643**	**-102.981**	**295.1325**	**647.9108**	**959.2446**

Expected Growth	5.48%
Terminal Growth	6.00%
WACC	11.90%

Calculation of Terminal Value	
FCFF(n+1)	1678.094
WACC	11.90%
Terminal Growth	6.00%
Terminal Value	**28447.39**

Equity Value Per Share	
PV of FCFF	1248.664
PV of Terminal Value	17152.43
Enterprise Value	**17152.43**
Add: Cash	459.86
Less: Debt	5194.00
Value of Equity	**12418.29**
No. of Shares	129.9815
Equity Value per Share	95.53886
Share Price	1509
Discount/Premium	15.8x

Varun Beverages Ltd.

(VBL | BSE Code: 540180)

INR 1509

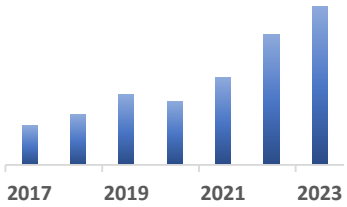
52 Week (High - 1544 & Low - 1494)

About the company

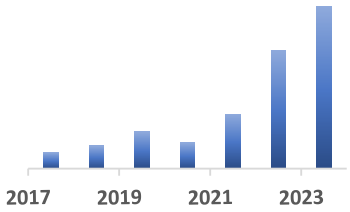
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Financial Summary

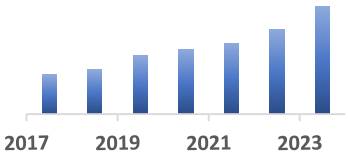
Revenue (INR Crs.)



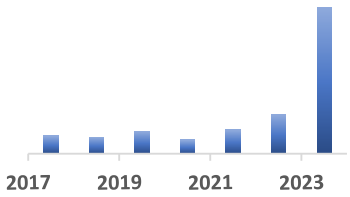
Net Profit (INR Crs.)



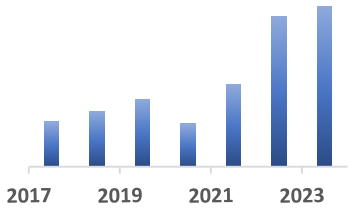
Average Total Assets (INR Crs.)



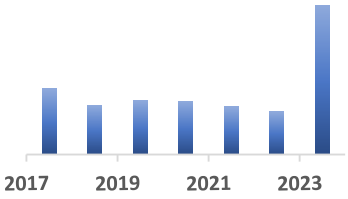
Return on Equity (%)



Return on Asset (%)



Financial Leverage



Recent Updates

- Varun Beverages Ltd. reported revenue of ₹4,398 crore during the January to March quarter, which on a year-on-year basis, was a growth of 11%.
- Net profit for the period increased by 25% to ₹537.2 crore. Earnings Before Interest, Tax, Depreciation and Amortisation increased by 24% to ₹990 crore, while EBITDA margin expanded by 230 basis points to 22.5% from 20.2% last year.
- Varun Beverages said that it is focusing on reducing sugar content in its products. Nearly 46% of the consolidated sales volume of the company came from no sugar or low sugar products.
- Jaipuria said his company will acquire The Beverage Company (BevCo), subject to regulatory and other approvals. BevCo holds franchise rights for PepsiCo beverage products in South Africa, Lesotho, and Eswatini, along with distribution rights in Namibia and Botswana.

Dupont Analysis - Return on Equity & Return on Asset

Return on Equity (ROE)							
	Dec-17	**Dec-18**	**Dec-19**	**Dec-20**	**Dec-21**	**Dec-22**	**Dec-23**
Net Profit	210.2	292.8	469.0	329.0	694.1	1497.4	2055.9
Average Equity Shareholder	2883.2	4327.7	5188.2	5841.9	7142.3	9487.7	3468.3
Return on Equity	**7.29%**	**6.77%**	**9.04%**	**5.63%**	**9.72%**	**15.78%**	**59.28%**

ROE - DuPont Equation							
	Dec-17	**Dec-18**	**Dec-19**	**Dec-20**	**Dec-21**	**Dec-22**	**Dec-23**
Net Profit	210.2	292.8	469.0	329.0	694.1	1497.4	2055.9
Revenue	4003.5	5105.3	7129.6	6450.1	8823.2	13173.1	16042.6
Net Profit Margin (A)	**5.25%**	**5.74%**	**6.58%**	**5.10%**	**7.87%**	**11.37%**	**12.82%**
Revenue	4003.5	5105.3	7129.6	6450.1	8823.2	13173.1	16042.6
Average Total Asset	7687.8	8635.8	11374.6	12635.2	13803.2	16408.0	20996.3
Asset Turnover Ratio (B)	**0.52x**	**0.59x**	**0.63x**	**0.51x**	**0.64x**	**0.80x**	**0.76x**
Average Total Asset	7687.8	8635.8	11374.6	12635.2	13803.2	16408.0	20996.3
Average Equity Shareholder	2883.2	4327.7	5188.2	5841.9	7142.3	9487.7	3468.3
Equity Multiplier (C)	**2.67x**	**2.00x**	**2.19x**	**2.16x**	**1.93x**	**1.73x**	**6.05x**
Return on Equity (A*B*C)	**7.29%**	**6.77%**	**9.04%**	**5.63%**	**9.72%**	**15.78%**	**59.28%**

Return on Asset (ROA)							
	Dec-17	**Dec-18**	**Dec-19**	**Dec-20**	**Dec-21**	**Dec-22**	**Dec-23**
Net Profit	210.2	292.8	469.0	329.0	694.1	1497.4	2055.9
Average Total Asset	7687.8	8635.8	11374.6	12635.2	13803.2	16408.0	20996.3
Return on Asset	**2.73%**	**3.39%**	**4.12%**	**2.60%**	**5.03%**	**9.13%**	**9.79%**

ROA - DuPont Analysis							
	Dec-17	**Dec-18**	**Dec-19**	**Dec-20**	**Dec-21**	**Dec-22**	**Dec-23**
Net Profit	210.2	292.8	469.0	329.0	694.1	1497.4	2055.9
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Dupont Summary

- ROE has grown significantly over the years, peaking at 59.28% in Dec-23 and which shows profitability and efficiency in using shareholder's equity. This can be result of increase in net Profit and Revenue.
- Average Total Assets also increased from Rs. 7600 to 20000, which in turn boosted the Asset Turnover Ratio from 0.52x to 0.76x.
- Because of Equity fluctations over the years and increase in borrowings equit multiplier is 6.05x in 2023. However, this might be because the company is pursuing aggressive growth strategy.
- Growth in ROA from 2.73% to 9.79% also indicates increased efficiency in asset utilization.

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Varun Beverages Ltd.

(VBL | BSE Code: 540180)

INR 1509

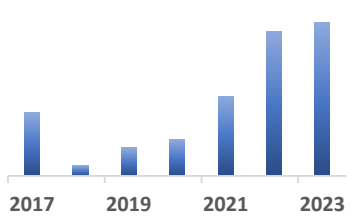
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Altman's Z Score Analysis

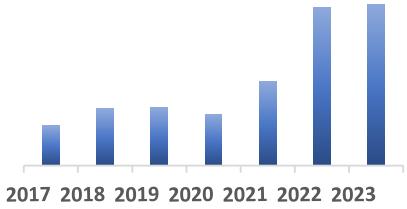
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Financial Summary

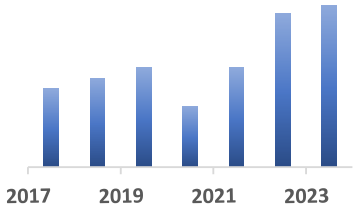
Working Capital/Total Assets



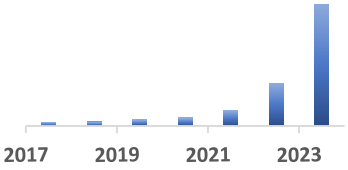
Retained Earnings/Total Assets



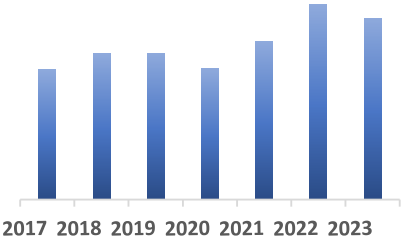
EBIT/Total Assets



Market Cap/Long Term Liabilities



Total Sales/Total Assets



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Altman's Z Score Analysis

Working Capital/Total Assets	Dec-17	Dec-18	Dec-19	Dec-20	Dec-21	Dec-22	Dec-23
Working Capital	288.9	55.8	202.7	264.7	659.3	1447.3	2015.3
Total Assets	5275.6	5998.0	8375.6	8447.4	9579.5	11618.2	15187.2
Working Capital/Total Assets (A)	**5.48%**	**0.93%**	**2.42%**	**3.13%**	**6.88%**	**12.46%**	**13.27%**

Retained Earnings/Total Assets	Dec-17	Dec-18	Dec-19	Dec-20	Dec-21	Dec-22	Dec-23
Retained Earnings	154.6	248.3	353.1	315.1	586.9	1340.9	1781.9
Total Assets	5275.6	5998.0	8375.6	8447.4	9579.5	11618.2	15187.2
Retained Earnings/Total Assets (B)	**2.93%**	**4.14%**	**4.22%**	**3.73%**	**6.13%**	**11.54%**	**11.73%**

EBIT/Total Assets	Dec-17	Dec-18	Dec-19	Dec-20	Dec-21	Dec-22	Dec-23
EBIT	501.6	649.6	1017.4	628.0	1161.6	2175.1	2985.1
Total Assets	5275.6	5998.0	8375.6	8447.4	9579.5	11618.2	15187.2
EBIT/Total Assets (C)	**0.10x**	**0.11x**	**0.12x**	**0.07x**	**0.12x**	**0.19x**	**0.20x**

Market Cap/Long Term Liabilities	Dec-17	Dec-18	Dec-19	Dec-20	Dec-21	Dec-22	Dec-23
Market Cap	1767.1	2122.5	4546.0	5876.8	12822.1	42953.4	160699.9
Long Term Liabilities	5275.6	5998.0	8375.6	8447.4	9579.5	11618.2	15187.2
Market Cap/Long Term Liabilities (D)	**0.33x**	**0.35x**	**0.54x**	**0.70x**	**1.34x**	**3.70x**	**10.58x**

Total Sales/Total Assets	Dec-17	Dec-18	Dec-19	Dec-20	Dec-21	Dec-22	Dec-23
Total Sales	4003.5	5105.3	7129.6	6450.1	8823.2	13173.1	16042.6
Total Assets	5275.6	5998.0	8375.6	8447.4	9579.5	11618.2	15187.2
Total Sales/Total Assets (E)	**75.89%**	**85.12%**	**85.12%**	**76.36%**	**92.11%**	**113.38%**	**105.63%**

Altman's Z Score	Dec-17	Dec-18	Dec-19	Dec-20	Dec-21	Dec-22	Dec-23
Final Score	1.4	1.5	1.7	1.5	2.3	4.3	8.4
Financial Stability	**Distressed**	**Distressed**	**Distressed**	**Distressed**	**Grey Zone**	**Strong**	**Strong**

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